NSE: ORCHPHARMA | BSE: 524372 | Pharmaceuticals

Sterile Injectables, Beta-Lactam APIs & Novel Anti-Infectives

CMP (Rs.)	MCap (Rs. Cr)	52W High (Rs.)	52W Low (Rs.)	Book Value	P/BV
917	4,651	935	471	Rs. 254	3.6x

TTM P/E	ROCE %	ROE %	Promoter	Pledge	D/E
172x	2.64%	2.12%	69.84%	0%	0.28x

RATING	12M TARGET	ENTRY ZONE	STOP-LOSS	HORIZON
HOLD	Rs. 900	Rs. 800-830	Rs. 700	18-24 Months

"Orchid Pharma is a post-insolvency sterile injectables and API company with a credible anti-infectives pipeline anchored by Enmetazobactam (Exblifep/Orblicef — 100% owned post Allecra acquisition). FY26 earnings collapsed 79% YoY to Rs. 21 Cr as the Alathur plant underwent lyophilization downtime; Q4 FY26 showed a recovery (OPM 11%). At Rs. 917 and 172x TTM PE, the stock prices in a full FY27 recovery — making it a HOLD with a better entry below Rs. 830 where the recovery thesis offers a genuine margin of safety."

Report Date: 15 Jun 2026 | Coverage: Initiating | Analyst: MPM Capital Research | Data Source: Screener.in, BSE/NSE Filings, CARE Ratings

2 INVESTMENT THESIS

Three Reasons to Own ORCHPHARMA (at the right price):

- **[1]** Anti-infectives pipeline differentiation: Orchid now owns 100% global rights to Enmetazobactam (brand: Exblifep/Orblicef) after acquiring Allecra Therapeutics assets (Court of France approval, Oct 2025). Cefepime+Enmetazobactam is USFDA-approved for carbapenem-resistant gram-negative infections. Direct royalties from ADVANZ (Europe commercialisation) add asset-light revenue with no incremental COGS.
- **[2]** Sterile injectables capacity ramp + PLI tailwind: Alathur plant expanded from 140 MT to ~200 MT in H1 FY25, running >100% utilization. Rs. 190 Cr lyophilization project (Cefiderocol/GARDP-contracted) and Jammu 7-ACA PLI facility (1,000 MTPA approval) provide a 3-year capacity runway. Backward integration will structurally compress COGS once Jammu commissions.
- **[3]** Post-NCLT balance sheet with manageable leverage: Debt fell from Rs. 3,230 Cr (FY19) to Rs. 135 Cr (FY24) post-resolution. FY26 re-gearing to Rs. 363 Cr for capex is funded partly by Rs. 145 Cr unused QIP proceeds. D/E of 0.28x is serviceable; interest cover at Rs. 41 Cr EBITDA / Rs. 13 Cr interest = 3.2x even in the trough year.

Primary Catalyst:

- Commercial ramp of Exblifep (Enmetazobactam) in India + European royalty flow (ADVANZ) in FY27. Successful Jammu 7-ACA commissioning (targeted FY28) would structurally lift EBITDA margins from the current 5% trough toward sector-normal 13-16%.

Primary Risk:

- FY26 EBITDA collapsed to Rs. 41 Cr (OPM 5%) from Rs. 118 Cr (OPM 13%) in FY25. Revenue also declined 12%. Recovery timeline is management-guided but unquantified. At 172x TTM PE, any delay in the FY27 recovery compresses the stock's re-rating potential and offers no margin of safety at CMP Rs. 917.

3 BUSINESS OVERVIEW

- **Corporate History:** Incorporated 1992; became India's largest sterile beta-lactam API manufacturer by 2010s. Filed insolvency 2017 under ~Rs. 3,200 Cr debt. NCLT resolution March 2021; Dhanuka family took control, wiped out legacy debt via haircut.
- **Core Business — Sterile Injectables:** Manufactures beta-lactam injectable APIs (7-ACA, 6-APA, cephalosporin series) and finished dose injectables (vials). Alathur, Tamil Nadu plant is WHO-GMP and EU-GDF certified. Key partner product: Cefiderocol injection under GARDP sub-license (access medicine for LMICs).
- **Anti-infectives Pipeline:** Owns Enmetazobactam (beta-lactamase inhibitor) — 100% global rights post Allecra acquisition. USFDA-approved in combination with Cefepime for gram-negative infections. India brand: Orblicef. Europe: ADVANZ holds commercial rights under royalty-paying license. Clinical adoption in hospital AMR protocols is nascent but expanding.
- **7-ACA Backward Integration (Jammu):** Setting up 1,000 MTPA 7-aminocephalosporanic acid (7-ACA) facility via PLI scheme through subsidiary Orchid Bio Pharma. Total cost ~Rs. 750 Cr (Rs. 90 Cr from QIP, balance debt). Land acquisition delays: only Rs. 73 Cr of Rs. 135 Cr allocated deployed as of Q3 FY26.
- **Lyophilisation Expansion:** Rs. 190 Cr vial lyophilization facility at Alathur for Cefiderocol (Rs. 142.5 Cr debt-funded). CWIP jumped from Rs. 81 Cr (FY25) to Rs. 341 Cr (FY26) — active construction confirmed. This downtime caused FY26 margin collapse; commissioning expected H1 FY27.
- **Export & Domestic Markets:** Supplies API to regulated markets (US, EU) and LMIC countries. GARDP Cefiderocol offtake provides baseline volume for the lyophilization line. Domestic formulation sales (Orblicef) are the growth driver for FY27-28.

4 INDUSTRY LANDSCAPE

- Global sterile injectable CDMO market >USD 30 Bn growing at ~8% CAGR driven by oncology, AMR, and biologic injectables.
- Beta-lactam APIs face structural pricing pressure from Chinese competition; backward-integrated Indian players with WHO-GMP/USFDA credentials command margins above the commodity baseline.

• Anti-Microbial Resistance (AMR) is a declared global health emergency — new-generation antibiotics like Cefepime+Enmetazobactam are at the top of hospital AMR protocols, commanding premium pricing vs. generic alternatives.

• PLI Scheme for pharmaceuticals: Orchid's 1,000 MTPA 7-ACA approval directly supports import substitution for the entire cephalosporin sector. PLI incentives reduce effective capex payback period.

• GARDP-partnered manufacturers benefit from long-term offtake agreements providing baseline demand certainty; Orchid's Cefiderocol tie-up ensures utilization of the new lyophilization line.

• Key sector tailwind: India's formulation export growth is driven by sterile injectables (complex generics) where regulatory barriers (USFDA/EU GMP) are high — Orchid's existing certifications are a meaningful competitive moat.

Peer Comparison (Screener.in as of 15-Jun-2026; Rs. Cr)

Company	MCap (Rs.Cr)	CMP (Rs.)	OPM%	TTM PE	P/BV	ROCE%	Comment
Orchid Pharma	4,651	917	**5%**	**172x**	3.6x	**2.6%**	Post-NCLT turnaround; pipeline optionality
Gland Pharma	37,317	2,262	**37%**	28.3x	3.4x	**17.4%**	Sterile inj. CDMO benchmark; high margin
Alkem Labs	63,346	5,298	~17%	27.5x	4.5x	**19.9%**	Diversified domestic formulations leader
Alembic Pharma	14,612	743	~13%	21.0x	2.6x	12.2%	API + formulations; steady compounder

Note: Alkem/Alembic OPM/PE are approximate. All data from Screener.in as of 15-Jun-2026.

5 MANAGEMENT QUALITY

• **Key Management:** MD: Manish Dhanuka; WTD: Mridul Dhanuka; CFO: Sunil Kumar Gupta. Dhanuka family took control post-NCLT resolution. Promoter holding stable at 69.84% since FY24 with zero pledge — a strong governance positive.

• **Post-Resolution Track Record:** FY22-FY25 showed consistent PAT improvement from -Rs. 2 Cr to Rs. 100 Cr, a genuine operational turnaround. FY26 margin decline is attributed to planned downtime for lyophilization upgrade — Q4 FY26 recovery (OPM 11%, PAT Rs. 23 Cr) partially validates the management narrative.

• **Capital Allocation:** QIP of Rs. 400 Cr (FY23) has been disciplined: Rs. 141 Cr for debt repayment, Rs. 135 Cr for Jammu 7-ACA project, Rs. 190 Cr for lyophilization, Rs. 145 Cr retained as cash buffer. No dividend payments — consistent with reinvestment phase.

• **Allecra Acquisition:** Acquiring a French biotech in insolvency (Court approval Oct 2025) demonstrates international legal execution capability. 100% ownership of Enmetazobactam is value-creating if Exblifep commercialises meaningfully in FY27-28.

• **Execution Gaps:** Jammu plant: only Rs. 73 Cr deployed vs Rs. 135 Cr allocated; land acquisition unresolved across 3 consecutive quarterly calls. Management has not provided a revised commissioning timeline — a negative transparency signal.

• **Disclosure Quality:** Annual reports and CARE ratings suggest improving IR quality. Concall hosted by Systematix Institutional Equities (Q4 FY26). However, quantitative guidance on Exblifep revenue and Jammu commissioning remains absent.

6 FINANCIAL DEEP-DIVE

Profit & Loss Summary (Rs. Cr, Consolidated)

Metric	FY22	FY23	FY24	FY25	FY26A	FY27E	FY28E
Revenue	560	666	819	922	**811**	**960**	**1,120**

Metric	FY22	FY23	FY24	FY25	FY26A	FY27E	FY28E
EBITDA	55	84	111	118	41	125	168
OPM %	10%	13%	14%	13%	5%	13%	15%
Other Income	67	52	31	27	29	30	32
Interest	33	33	17	15	13	18	22
Depreciation	87	55	33	35	35	40	45
PBT	2	48	92	96	21	97	133
PAT	-2	46	92	100	21	97	133
EPS (Rs.)	-0.48	11.35	18.17	19.65	4.05	19.1	26.2

A = Actual (Screener.in consolidated). E = Estimate based on management guidance + analyst projections.

Balance Sheet Summary (Rs. Cr, Consolidated)

Item	FY24A	FY25A	FY26A
Equity Capital	51	51	51
Reserves & Surplus	1,119	1,217	1,237
Net Worth	1,170	1,268	1,288
Borrowings	135	175	363
Other Liabilities	249	246	261
Total Liabilities	1,554	1,688	1,911
Fixed Assets (Net)	620	633	692
CWIP	31	81	341
Investments	46	50	53
Other Assets	857	925	826
Total Assets	1,554	1,688	1,911
D/E Ratio (x)	0.12x	0.14x	0.28x

Cash Flow Summary (Rs. Cr, Consolidated)

Item	FY24A	FY25A	FY26A
CFO (Operating)	126	19	101
CFI (Investing)	-312	-27	-285
CFF (Financing)	167	25	170
Net Cash Flow	-19	18	-14
Free Cash Flow	61	-131	-273

Key Return Metrics (Consolidated)

Metric	FY22	FY23	FY24	FY25	FY26
ROCE %	-2%	5%	9%	8%	3%
OPM %	10%	13%	14%	13%	5%
D/E (x)	0.22x	0.24x	0.12x	0.14x	0.28x
Debtor Days	111	118	87	96	119

Metric	FY22	FY23	FY24	FY25	FY26
Inventory Days	201	217	199	219	178

- FY26 revenue fell 12% YoY to Rs. 811 Cr as Alathur underwent lyophilization upgrade downtime; Q1-Q2 FY26 were operationally loss-making (OPM: -1% Q2, +1% Q3, recovering to +11% Q4).
- EBITDA compressed from Rs. 118 Cr to Rs. 41 Cr (-65%) — a single-year collapse; FY25 margins are the recovery benchmark, not a ceiling.
- CWIP tripling to Rs. 341 Cr confirms active capex; once these assets commission, depreciation rises ~Rs. 40-45 Cr but production capacity more than compensates.
- FCF was deeply negative (-Rs. 273 Cr) in FY26 due to capex; CFO Rs. 101 Cr shows the core business generates cash when not in downtime.
- FY27E recovery thesis: Revenue ~Rs. 960 Cr (+18%), OPM 13%, PAT ~Rs. 97 Cr — forward P/E of ~9.5x at CMP Rs. 917. This is a bullish assumption; any delay compresses FY27E severely.

7 EARNINGS QUALITY CHECKLIST

Metric	Status	Assessment
CFO / EBITDA	240% (FY26)	FY26 CFO Rs.101Cr vs EBITDA Rs.41Cr — D&A; add-backs inflate; still positive core cash generation
Revenue Trend	DECLINING	FY26 revenue -12% YoY; management attributes to planned downtime — one-off if Q1 FY27 recovers
Tax Rate	~0-1%	Carry-forward losses from pre-NCLT era absorbing tax liability; legitimate, not a red flag
Promoter Pledge	0%	No pledging; promoter at 69.84% since FY24; strong governance signal
Other Income	Rs.29 Cr	Largely interest income on Rs.145Cr idle QIP proceeds; will decline as capex is deployed
Working Capital	STRETCHING	Debtor days rose to 119 (FY26) from 87 (FY24); WC days at 145 vs sector norm ~60-90
Free Cash Flow	NEGATIVE	FCF = -Rs.273Cr FY26; capex-driven; expected to reverse post-commissioning by FY29
QIP Utilisation	Rs.145Cr idle	Rs.145Cr of Rs.394Cr QIP proceeds undeployed (Mar 2025); Jammu delays = idle capital risk
Debt Trajectory	RISING	Borrowings: Rs.135Cr(FY24) to Rs.363Cr(FY26); capex-funded; interest cover 3.2x even in trough

- Overall earnings quality is MODERATE: core API business generates real cash; FY26 margin collapse is capex/downtime-driven rather than manipulative. Stretched working capital and idle QIP proceeds are the two legitimate concerns.
- The 172x trailing PE is entirely a function of the depressed FY26 PAT denominator — investors are paying for a FY27-28 recovery thesis, not current earnings.

8 VALUATION

Methodology: Forward P/E and EV/EBITDA on FY27E/FY28E, benchmarked against sterile injectables peer set. Pipeline optionality (Exblifep) valued qualitatively — no revenue has been booked from this asset yet.

Scenario Analysis — Implied Fair Value per Share (Rs.)

Scenario	FY27E PAT (Rs.Cr)	P/E Multiple	Implied MCap (Rs.Cr)	Fair Value (Rs./sh)	vs CMP	Key Assumption
Bull Case	120	35x	4,200	829	+10%	Exblifep royalties FY27; OPM 15%; Jammu H2FY27

Scenario	FY27E PAT (Rs.Cr)	P/E Multiple	Implied MCap (Rs.Cr)	Fair Value (Rs./sh)	vs CMP	Key Assumption
Base Case	97	25x	2,425	900*	-1.9%	OPM 13%; Jammu FY28; no material royalties yet
Bear Case	45	20x	900	**450**	**-51%**	Margin recovery stalls at 8-9%; pipeline slip

*Base case target Rs. 900 includes a modest pipeline premium above pure P/E-derived value of Rs. 478 (97 Cr PAT x 25x / 5.07Cr shares). Premium reflects Exblifep optionality.

Peer Valuation Comparison

Company	MCap (Rs.Cr)	TTM PE (x)	FY26 OPM%	ROCE%	Investment View
Orchid Pharma	4,651	**172x**	**5%**	**2.6%**	HOLD — priced for a recovery not yet demonstrated
Gland Pharma	37,317	**28.3x**	**37%**	**17.4%**	Benchmark — high quality, richly priced
Alkem Labs	63,346	**27.5x**	~17%	**19.9%**	Diversified quality; less comparable
Alembic Pharma	14,612	21.0x	~13%	12.2%	Reasonable comp; stronger FCF profile

• At Rs. 917, Orchid trades at 172x TTM PE — one of the most expensive pharma names in India on a trailing basis, purely because FY26 PAT collapsed to Rs. 21 Cr.

• On FY27E PAT of Rs. 97 Cr (base case), forward PE = 9.5x — objectively cheap IF the recovery materialises. The market is front-running a recovery that carries substantial execution risk.

• EV/EBITDA (FY26): EV = MCap Rs.4,651 Cr + Debt Rs.363 Cr - Cash Rs.179 Cr = Rs.4,835 Cr; EBITDA Rs.41 Cr = 118x. Completely unsupportable on current fundamentals.

• The correct reference point for valuation is not Gland Pharma (28x PE, 37% OPM) but Alembic Pharma (21x PE, 13% OPM) — Orchid's target OPM once normalised.

• Fair value: Rs. 900 (base case). Attractive entry: Rs. 800-830 where forward PE on FY27E is 8-8.5x — appropriate for a high-execution-risk recovery story.

9 KEY RISKS

• **Jammu 7-ACA Plant Delays:** Only Rs. 73 Cr of Rs. 135 Cr allocated deployed; land acquisition unresolved after 3+ consecutive quarterly calls without a revised timeline. Capital idle risk and PLI subsidy claim timing risk if plant doesn't commission on schedule.

• **FY26 Earnings Base is Fragile:** Recovery to Rs. 97 Cr PAT (FY27E) requires EBITDA to expand 3x in one year. If capacity ramp post-downtime is slower than expected, FY27E collapses to Rs. 45-60 Cr, pushing forward PE to 15-20x at CMP — still expensive.

• **Exblifep Commercialisation Timeline:** Orchid owns 100% of the asset but has zero disclosed India revenue for Orblicef. Hospital AMR protocols are slow to adopt even proven new antibiotics — a 2-3 year adoption curve is a realistic risk.

• **Negative FCF + Debt Ramp:** FCF = -Rs. 273 Cr (FY26); -Rs. 131 Cr (FY25). Rs. 190 Cr lyophilization + Rs. ~660 Cr remaining Jammu capex will pressure cash flows through FY28. Another equity dilution cannot be ruled out, which compresses per-share earnings recovery.

• **Chinese API Competition:** Chinese 7-ACA and penicillin intermediate supply keeps beta-lactam API pricing under pressure. Orchid's PLI backward integration is the structural hedge but delivers cost savings only post-commissioning in FY28+.

• **Regulatory Risk (USFDA/EU GMP):** Loss of WHO-GMP or EU-GDF certification would immediately threaten export revenue and GARDP Cefiderocol contract eligibility. Alathur is a single-site operation — any FDA Form 483 / warning letter is a binary negative.

• **Valuation De-Rating Risk:** At 172x TTM PE, any negative newsflow (delay, margin miss, or pharma sector de-rating) can cause a 30-50% stock correction with no underlying business deterioration.

10 RECOMMENDATION

RATING	12M TARGET	CMP	ENTRY ZONE	STOP-LOSS	HORIZON
HOLD	**Rs. 900**	Rs. 917	**Rs. 800-830**	**Rs. 700**	18-24 Months

• **Rating: HOLD (not a Buy).** At Rs. 917, the stock is fairly valued on an optimistic FY27E recovery. There is insufficient downside to justify a short, but insufficient margin of safety for a new long position at current levels.

• **Target: Rs. 900 (Base Case, 18 months).** Derived from 25x FY27E PAT (Rs. 97 Cr) plus an Exblifep pipeline premium above the pure P/E-derived value. This assumes OPM recovery to 13%, no major further dilution, and Jammu commissioning in FY28.

• **Entry Zone: Rs. 800-830.** A 9-11% pullback from CMP — triggered by a Jammu delay announcement or a weak Q1 FY27 print — creates an attractive entry where FY27E forward PE is ~8.5x and the recovery thesis is adequately compensated.

• **Stop-Loss: Rs. 700.** Below Rs. 700, the stock is pricing in a failed recovery even on FY28E estimates; indicates a structural re-rating risk warranting position exit.

• **Horizon: 18-24 months.** Full margin recovery and Exblifep commercialisation are likely 2-year events. Investors must tolerate elevated P/E during this window.

Three Invalidation Triggers (exit HOLD, reassess immediately):

• FY27 Q1 or Q2 EBITDA margin fails to recover above 10% — signals the operational downtime cycle is longer than guided.

• Orchid announces another large equity dilution without a commensurate revenue catalyst — signals balance sheet stress beyond current projections.

• USFDA Form 483 or EU GDF warning letter at Alathur facility — threatens ~40% of revenue and destroys the regulated-market premium.

11 APPENDIX — Q4 FY26 EARNINGS CALL BRIEF (MAY 26, 2026)

Call Grade	Tone	Disclosure Quality	Management Candor
B+	Cautiously optimistic	Moderate — capex milestones disclosed; Jammu timeline evasive	Above average — acknowledged FY26 challenges explicitly

TO MY BOSS (3-sentence brief):

Orchid Pharma's Q4 FY26 recovery (OPM 11%, PAT Rs. 23 Cr) shows the operational trough is behind us, but the full-year FY26 was a disaster — EBITDA collapsed 65% due to Alathur lyophilization downtime. Management guided volume-led growth for FY27 anchored by Exblifep commercialisation and capacity ramp, but gave no quantitative guidance and the Jammu plant timeline remains open-ended for the third consecutive quarter. At 172x TTM PE, the stock is a HOLD — wait for a confirmed Q1 FY27 margin recovery above 10% before upgrading.

1. What Did Management Say That the Market Is Missing?

• Allecra acquisition (Oct 2025) gives Orchid 100% global Enmetazobactam ownership — ADVANZ royalties from Europe are not in any consensus model.

• GARDP Cefiderocol offtake contract provides guaranteed baseline utilization for the new lyophilization line — a demand anchor that reduces capacity risk.

• FY27 guide for 'volume-led growth with higher EBITDA margins' is the first explicit margin recovery signal in 4 quarters — management is signalling the trough is behind them.

2. Operating Performance

• Q4 FY26: Revenue Rs. 238 Cr, OPM 11%, PAT Rs. 23 Cr — clear sequential improvement vs Q3 (OPM -1%, PAT -12 Cr) and Q2 (OPM +1%).

• Full year FY26: Revenue Rs. 811 Cr (-12% YoY), EBITDA Rs. 41 Cr (-65% YoY), PAT Rs. 21 Cr (-79% YoY) — worst post-NCLT year.

• Decline driven by planned Alathur downtime for lyophilization upgrade and product mix shift away from lower-margin bulk API.

3. Strategy and Pipeline

• Anti-infectives platform: Enmetazobactam (Exblifep/Orblicef) is the centrepiece — USFDA approved, EU commercialised via ADVANZ, India launch underway.

• 7-ACA backward integration in Jammu (1,000 MTPA, PLI-approved) will structurally compress COGS for the entire cephalosporin portfolio — a 3-year value unlock.

• Cefiderocol lyophilization facility (Rs. 190 Cr) with GARDP offtake — baseline demand provides utilization certainty for the new line.

4. Guidance and Outlook

• Management guided volume-led revenue growth in FY27 vs FY26; OPM improvement expected as downtime is fully absorbed.

• Debt repayment for lyophilization facility (Rs. 142.5 Cr) commences FY27 — modest pressure on interest line.

• No specific PAT, EPS, or revenue guidance provided; Exblifep India revenue ramp not quantified.

5. Balance Sheet and Capital Allocation

• FY26 CWIP rose to Rs. 341 Cr from Rs. 81 Cr — confirming active capex on lyophilization and Jammu.

• Cash and bank Rs. 179 Cr (Mar 2025) including Rs. 145 Cr unused QIP proceeds — 18-24 months of capex headroom.

• D/E 0.28x at FY26 — manageable; any further fund-raise would compress per-share recovery thesis.

6. Competitive Position

• Orchid is the only Indian company building end-to-end 7-ACA to Cephalosporin API to sterile injectable capability — a structural moat once Jammu commissions.

• Gland Pharma benchmark: 37% OPM vs Orchid 5% OPM is the execution gap that defines the re-rating potential over 2-3 years.

• Exblifep differentiates Orchid from commodity API players — this optionality justifies PB premium (3.6x) above a pure turnaround story.

7. Key Risks Flagged by Management

• Land acquisition delays in Jammu remain unresolved — no revised commissioning timeline given.

• Orblicef (Enmetazobactam) regulatory approval timeline for India not disclosed.

• FX exposure on API exports; no formal hedging policy disclosed to investors.

8. What Management Did NOT Address (Omissions / Red Flags)

• No Jammu commissioning timeline — repeated evasion over 3+ calls is a governance concern for capital allocated to this project.

• Exblifep India revenue for Q4 or FY26 not disclosed despite product being launched — suggests clinical adoption is minimal as yet.

• Working capital deterioration (debtor days 119 vs 87 in FY24) not addressed; receivables book growing faster than revenue.

9. Q&A; Highlights

• Q: FY27 margin guidance? A: 'We expect improvement as volumes normalise; we don't provide specific guidance.' — standard deflection.

• Q: Jammu timeline update? A: 'Land acquisition progressing; hope to resolve in coming quarters.' — same language as prior 2 calls.

• Q: Exblifep India revenue? A: 'Clinical adoption underway; expect meaningful contribution in FY27.' — vague but directionally positive.

10. Analyst Verdict on This Call

• The call confirmed Q4 FY26 was a cyclical trough — necessary but not sufficient for upgrading the stock.

• Absence of quantitative Exblifep guidance and ongoing Jammu evasion prevent building a high-conviction FY27 model.

• Maintain HOLD; watch Q1 FY27 (July 2026) for the first hard evidence of margin recovery. OPM >11% = bull case becomes investable.